

NRI REMITTANCES

families back home but also ensured that India's foreign exchange registers keep ringing. At \$26 billion (Rs 1,02,900 crore), forex inflows through remittances far outstripped foreign institutional investment (FII) and foreign direct investment (FDI) inflows into India in 2006. This trend is in sync with the global pattern of remittance flows overtaking the sum total of development aid and investment. Anil Kapur, managing director of Western Union South Asia, says, "In states where unemployment is very high, people are migrating overseas rather than to metros. And the dollars that are coming into the country are systematically transforming society and these rural pockets."

Apart from the 45,000 Western Union locations in India, which include post offices, private inflows are helping bring about financial inclusion in areas like eastern Uttar Pradesh, Bihar and West Bengal, where banks are yet to find their way. Almost all the people coming to post offices open accounts and start saving a part of the money that comes from relatives abroad. This brings more people into the cycle of financial services and inculcates saving habits. With almost 7,50,000 Indians migrating overseas every year in search of jobs, remittance inflows have also ballooned. The growth for white collar jobs since the mid-'90s has seen millions of technology workers going overseas who remit large parts of their savings to families in India. Over the last two years, these inflows have increased dramatically to displace other recipients like China and Mexico. India's share of remittances has nearly doubled from a modest \$13 billion (Rs 51,400 crore) in 2000-01 to \$26.5 billion (Rs 1,04,900 crore) in 2005-06, which is larger than the combined FII and FDI inflows at \$14.5 billion (Rs 57,400 crore). While the first six months of 2007 have seen \$15 billion (Rs

59,400 crore) flow into the country, the current fiscal is expected to close with \$30 billion (Rs 1,18,700 crore) inflows.

According to the World Bank, remittances to developing countries will reach an estimated \$240 billion in 2007. "Recorded remittances are more than twice as large as official aid and nearly two-thirds of FDI flows received by developing countries," says Dilip Ratha, senior economist in the development prospects group of the World Bank. According to the analysis, a near stagnation in remittance flows to Mexico and a deceleration in other Latin American countries con-

2.5 m

is the total number of Indian expatriates which mostly includes blue-collar workers

3 per cent

was the overseas Indians' contribution to the country's GDP in 2006

MONEY POWER: The Rs 2-crore house in Jalandhar of Kamal Mann, a California-based businessman



NARENDRA BISHT

tributed to a slowdown in the rate of growth of remittances in 2007. Nevertheless, the rise of remittances to developing countries remains robust because of strong growth in Europe and Asia. Economists and money transfer organisations believe most of the money is used for subsistence since little development aid reaches these remote areas. According to RBI, contrary to assumption, 55 per cent of remittance money is for subsistence. What's aiding this revolution is the ubiquitous cell-phone and the Internet—fast emerging as a payment gateway. Even as the government talks of a more democratic development, expatriate remittances are transforming sleepy hamlets like Siwan in Bihar and Gorakhpur and Azamgarh in Uttar Pradesh into new consumption capitals. Apart from an impact on the income of families, high forex receipts have a tremendous impact on the country's balance of payments. RBI states that inflows in remittances have stabilised at around 3 per cent of GDP since the latter half of the '90s. These inflows have offset the merchandise trade deficit to a large extent, thereby keeping the current account deficit modest through the the decade.

Economists may debate on what is defined as the productive use of such income, but these dollars are transforming the real India—where the FDI and FII inflows fail to reach.

M.S. VERMA, State Bank of India, 1998

"Non-resident Indians are upbeat. They want to make India a strong nation."